NORTHWIND RESEARCH

Illustrative Industrial Software Sector: 3Q26 Preview

Sector Update | Example deck generated by northwind-ppt-template | 2026-10-15

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Pricing, not volume, is driving the 3Q26 setup

Key takeaways

- Coverage revenue expected +9.4% YoY on a constant-currency basis (illustrative)
  - Net price contributes ~6 pts; volume ~3 pts
- EBIT margin guided to expand 120bp as subscription mix rises

What would change our view

- Renewal rates falling below 90% would undermine the pricing thesis
- A capex pause at large manufacturers would hit 1H27 bookings

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Coverage Snapshot

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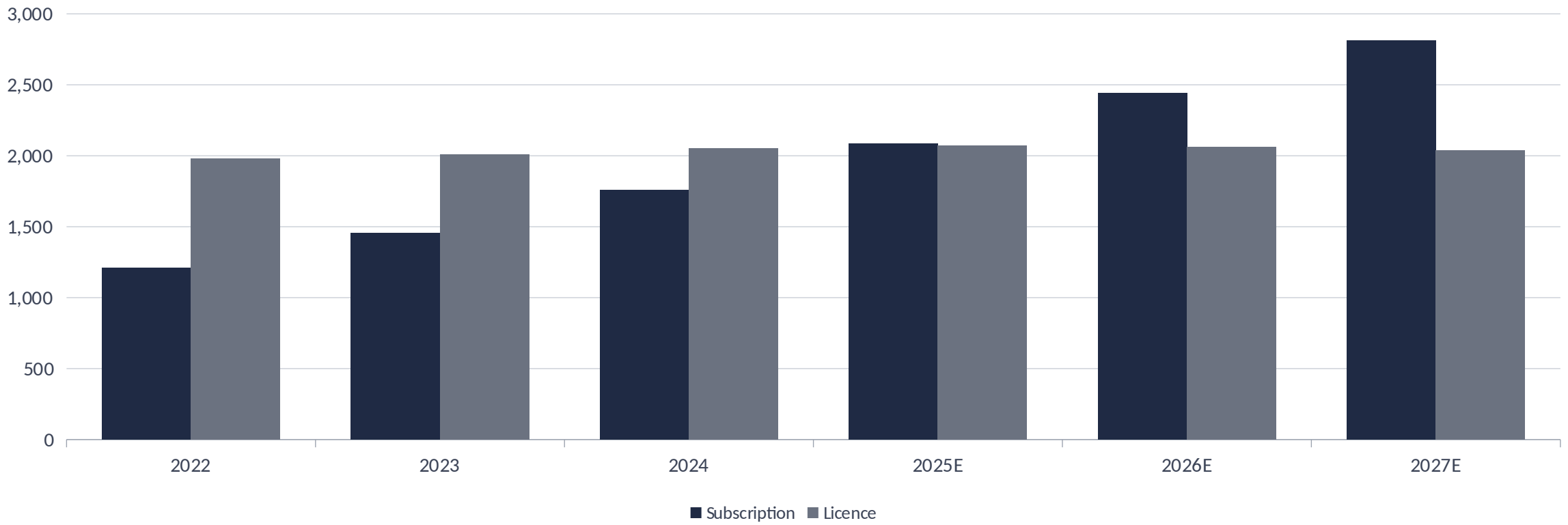
Coverage valuation summary (illustrative)

Company	Rating	Price (USD)	Mkt cap (USD m)	EV/Sales 2027E (x)	EBIT margin 2027E (%)
Alpha Systems	Buy	142.50	18,420.0	6.8	27.4
Beta Automation	Hold	58.10	7,215.3	3.9	19.8
Gamma Analytics	Buy	211.75	24,980.6	8.2	31.0
Delta Controls	Sell	33.40	3,102.9	2.4	14.6
Coverage median			12,817.7	5.4	23.6

Source: Northwind Research estimates. All company names and figures are fictional, for template validation only.

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Subscription revenue overtakes licence in 2026E (USD m)



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Bull vs. bear: the debate is renewal pricing

Bull case

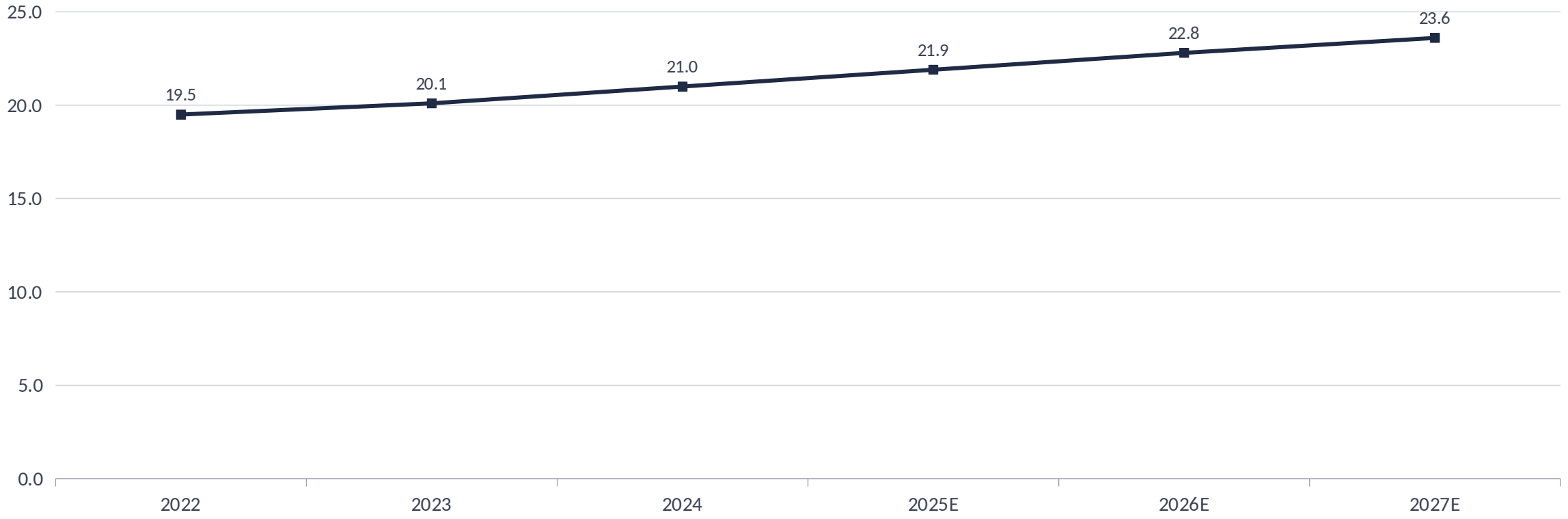
- Price increases stick; churn stays below 5%
- AI add-ons lift ARPU by a further 4-6%
- Margin reaches 30% by 2027E

Bear case

- Customers push back at renewal; churn rises to 8%
- Manufacturing capex cycle rolls over in 2027
- Competition from hyperscaler tools compresses pricing

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Coverage EBIT margin expands ~4 pts over the forecast (%)



Source: Northwind Research estimates (illustrative data).

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